



A CRISIS WHICH BEGAN IN THE MORTGAGE MARKETS OF AMERICA HAS BROUGHT THE WORLD'S FINANCIAL SYSTEM CLOSE TO COLLAPSE

THE GLOBAL FINANCIAL CRISIS (2008)

IN CONTEXT

FOCUS

Globalization and inequality

BEFORE

1929 The Wall Street Crash leads to the Great Depression, the worst economic crisis of the 20th century.

1944 Delegates of 44 countries meet at Bretton Woods, New Hampshire, to reshape the global financial system.

1975 France, Italy, Germany, Japan, Britain, and the US form the Group of Six (G6) to foster international trade.

1997–1998 The Asian financial crisis, starting in Indonesia and spreading around the world, is a precursor to events in 2008.

AFTER

2015 World leaders pledge to eradicate world poverty by 2030.

The turn of the 21st century brought troubling signs of a worldwide recession. Low interest rates and unregulated credit had induced more and more people to get into unsustainable debts. Bankers, particularly in the US, offered mortgages to customers with a poor credit history. These mortgages were called “subprime mortgages.” It was hoped that if people could not keep up with their mortgage payments, their houses could be

Many countries enjoy historically **low interest rates**.



Subprime mortgages in the US are considered a **safe investment**.



Complex financial instruments mask **debt levels** incurred by banks.



Mortgage defaults soar. Banks and financial institutions risk **collapse**.



The interlinking of financial markets leads to a global crisis.



The world is plunged into the **worst recession** since the **Great Depression**.

repossessed and sold at a profit, but this depended on house prices rising. In 2007, interest rates crept up, and house prices fell. People began defaulting on their monthly repayments. Across the US, houses were repossessed at a great loss, with bankers fearing they would not get their money back.

The crisis spreads to Europe

In August 2007, the French bank Paribas revealed that it was at risk from the subprime mortgage market.